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Today's economic developments and market movements.



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Key themes:

- There was a modest risk-on tone to end the week after reports emerged that Iran had delivered a new proposal to the US, signalling progress in behind-the-scenes diplomacy aimed at ending the conflict. This saw oil prices fall 3.0%.
- US equity markets finished higher, with the S&P 500 recording its fifth consecutive weekly gain. European markets were mostly closed, while Asian markets were mixed. Locally, the S&P/ASX 200 rose 0.7% on the day, trimming but not fully offsetting its weekly losses.
- Bond markets saw only modest moves, while the US dollar firmed slightly during the session.
- Locally, attention now turns to the RBA Board meeting this week. OIS pricing continues to imply a terminal cash rate of around 4.75% through 2026, with around 19bps of tightening priced for this week's Board meeting.

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